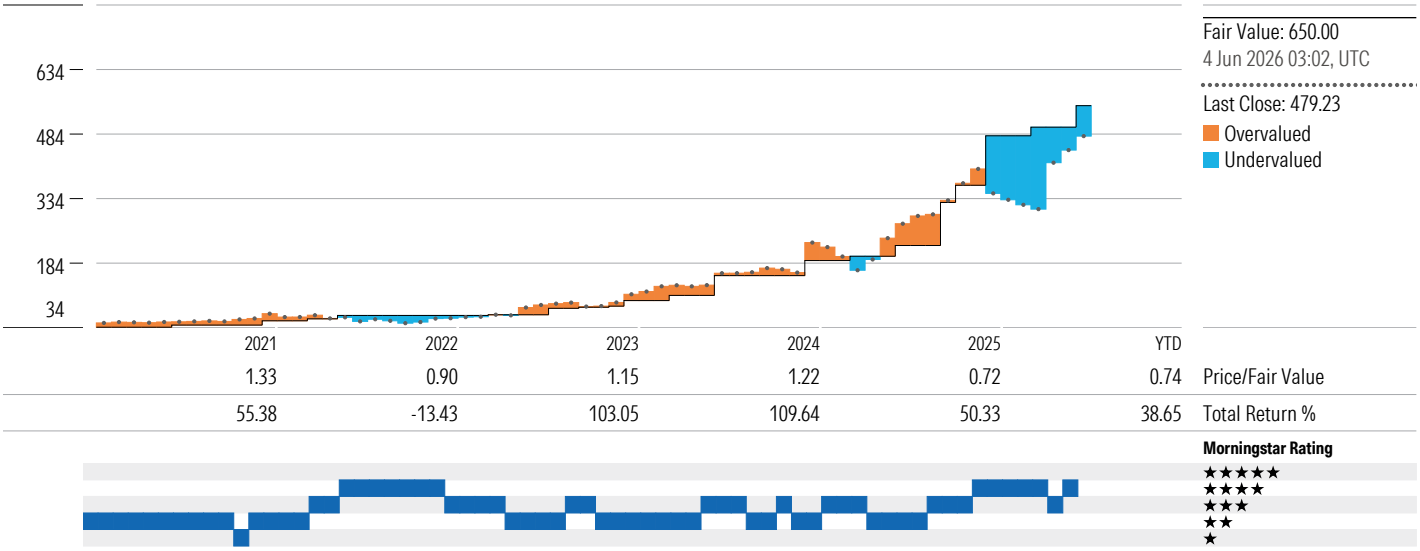
Broadcom Inc AVGO ★★★★ 4 Jun 2026 03:06, UTC

Last Price	Fair Value Estimate	Price/FVE	Market Cap	Economic Moat™	Equity Style Box	Uncertainty	Capital Allocation
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Price vs. Fair Value



	2021	2022	2023	2024	2025	YTD	
Price/Fair Value	1.33	0.90	1.15	1.22	0.72	0.74	
Total Return %	55.38	-13.43	103.05	109.64	50.33	38.65	

Morningstar Rating

Total Return % as of 03 Jun 2026. Last Close as of 03 Jun 2026. Fair Value as of 4 Jun 2026 03:02, UTC.

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The primary analyst covering this company does not own its stock.

[1]The ESG Risk Rating Assessment is a representation of Sustainalytics' ESG Risk Rating.

Broadcom Earnings: Hold the Line

Analyst Note William Kerwin, CFA, Senior Equity Analyst, 4 Jun 2026

Broadcom reported in-line April-quarter results and good July-quarter guidance. Management maintained its outlook for "more than $100 billion" in artificial intelligence revenue in fiscal 2027. Shares fell 14% after hours, as investors hoped for higher guidance in 2027 and beyond.

Why it matters: We believe Broadcom is guiding conservatively, and see the $100 billion fiscal 2027 target as a sandbag. Management expects to ship capacity for 10 gigawatts of compute in 2027, and we believe it will earn well above $10 billion per gigawatt.

- Anthropic and OpenAI's XPU ramps look to be focused in 2027 and 2028, making for a relatively softer 2026 (still nearly 200% growth). Apollo and Blackstone are helping to finance purchases of chips from Broadcom, which could amount to 20 gigawatts of capacity alone in the next two years.
- We model close to $200 billion in AI chip revenue in fiscal 2028. Every sign points to high visibility into massive demand over the next two years. Management isn't following peer Marvell's long-term bullish guidance, but we believe a real, and immense, opportunity exists nonetheless.

The bottom line: We raise our fair value estimate for wide-moat Broadcom to $650, from $550. We're confident in rapid long-term XPU growth, and have grown more constructive on incremental margins from these custom chips. With the selloff reaction, Broadcom remains one of our top picks in semis.

- We view XPUs as gross margin-dilutive, but operating margin-accretive, via co-investment from customers. We expect Broadcom to maintain strong operating margins as these chips take up a higher mix. If these chips are actually accretive to existing margins, there's upside to our forecast.

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Sector Technology

Industry Semiconductors

Business Description

Broadcom is one of the largest semiconductor companies in the world and has also expanded into infrastructure software. Its semiconductors primarily serve computing and networking, with custom AI accelerators now accounting for the bulk of the business. It is primarily a fabless designer, but holds some manufacturing in-house, such as for its best-of-breed film bulk acoustic resonator filters that sell into the Apple iPhone. In software, it sells virtualization, infrastructure, and security software to large enterprises, financial institutions, and governments. Broadcom is the product of consolidation. Its businesses are an amalgamation of former companies like legacy Broadcom and Avago Technologies in chips, as well as VMware, Brocade, CA Technologies, and Symantec in software.

- Shares trade at 18 times consensus fiscal 2028 earnings after the selloff. We value Broadcom at 25 times our own 2028 earnings estimate, which we see as a fair price for an extremely high-quality company that we expect to continue growing in the high teens through the end of the decade.

Business Strategy & Outlook William Kerwin, CFA, Senior Equity Analyst, 1 Jun 2026

Broadcom is an amalgamation of high-value, differentiated and moaty chip and software businesses. Put simply, Broadcom is a prolific generator of cash flow. It is a terrific aggregator of firms, big and small. Its ability to acquire and streamline generates strong profits and cash flow and fuels robust shareholder returns. We laud the company for its execution and operating efficiency, which build upon its large organic investment and help it to outperform its end markets organically.

In our view, Broadcom's networking and custom chip businesses are its strongest and the primary drivers of the company's wide economic moat and results. We expect it to retain a dominant position in merchant silicon for switching and routing applications, where we see it as best-of-breed for high speeds. We also expect it to hold a formidable position in custom artificial intelligence accelerators as it benefits from hyperscale cloud vendors building chips to reduce their reliance on Nvidia. We see Broadcom as the key secondary AI compute vendor to Nvidia as hyperscalers further pursue custom silicon to gain performance, save money, and avoid vendor lock-in.

Outside of chips, Broadcom's software businesses sell virtualization software, mainframe software, and cybersecurity software, and we see its offerings as highly competitive. Broadcom's focus on strategic large software customers like financial institutions, governments, and large enterprises—where it is deeply embedded—elicits steep switching costs. We also see upselling opportunities with VMware under the firm's belt.

We expect Broadcom to grow rapidly as a result of its skyrocketing AI chip business. We believe AI is already the primary driver of Broadcom's results. To us, an investment in Broadcom today is an investment in its AI chip and networking businesses. Outside of AI, we see more moderate growth led by VMware and non-AI networking. We expect acquisitions to still be on Broadcom's radar, but perhaps with larger, less frequent deals. After the 2023 VMware purchase, we expect the company to focus on deleveraging for a couple of years before tapping the acquisition market again.

Bulls Say William Kerwin, CFA, Senior Equity Analyst, 4 Jun 2026

- Broadcom is best-of-breed in custom AI accelerators, boasting the largest customer in Google and layering new customers in like Anthropic and OpenAI. Rising AI spending portends immense growth.
- Broadcom is an exemplar of operating efficiency. It earns excellent operating margins and generates enormous cash flow. It is particularly strong at acquiring companies and trimming excess expenses.
- While smaller relative to the size of its rising AI chip business, Broadcom's traditional networking chips and VMware software are moaty businesses in their own right that generate good cash flow.

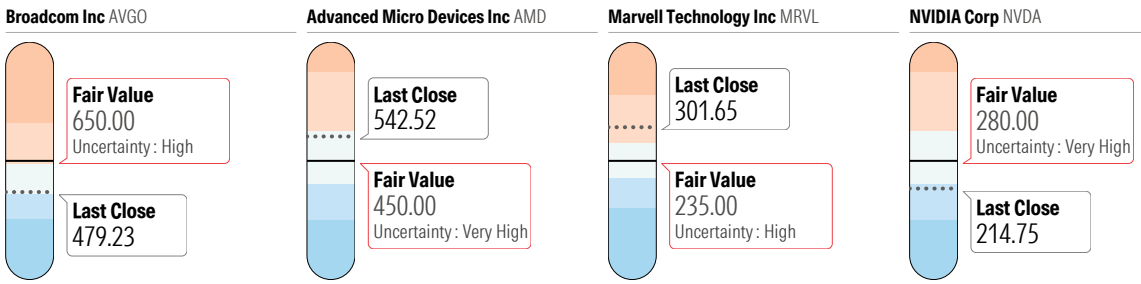
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Competitors



	Broadcom Inc AVGO	Advanced Micro Devices Inc AMD	Marvell Technology Inc MRVL	NVIDIA Corp NVDA
Economic Moat	Wide	Narrow	Narrow	Wide
Currency	USD	USD	USD	USD
Fair Value	650.00 4 Jun 2026 03:02, UTC	450.00 3 Jun 2026 16:26, UTC	235.00 3 Jun 2026 16:26, UTC	280.00 3 Jun 2026 16:26, UTC
1-Star Price	1,007.50	787.50	364.25	490.00
5-Star Price	390.00	225.00	141.00	140.00
Assessment	Undervalued 3 Jun 2026	Fairly Valued 3 Jun 2026	Overvalued 3 Jun 2026	Undervalued 3 Jun 2026
Morningstar Rating	★★★★4 Jun 2026 03:06, UTC	★★★3 Jun 2026 05:00, UTC	★★3 Jun 2026 05:00, UTC	★★★★3 Jun 2026 05:00, UTC
Analyst	William Kerwin, Senior Equity Analyst	Brian Colello, Senior Equity Analyst	William Kerwin, Senior Equity Analyst	Brian Colello, Senior Equity Analyst
Capital Allocation	Exemplary	Exemplary	Exemplary	Exemplary
Price/Fair Value	0.74	1.21	1.28	0.77
Price/Sales	30.98	23.78	30.25	20.72
Price/Book	25.87	13.72	14.50	26.61
Price/Earning	79.87	180.84	103.30	32.89
Dividend Yield	0.52%	0.00%	—	—
Market Cap	2,269.00 Bil	884.63 Bil	263.88 Bil	5,201.46 Bil
52-Week Range	241.11—495.00	113.28—546.44	61.15—324.10	137.95—236.54
Investment Style	Large Growth	Large Growth	Large Growth	Large Growth

Bears Say William Kerwin, CFA, Senior Equity Analyst, 4 Jun 2026

- Broadcom's chip business bears significant customer concentration, with a small handful of large AI customers driving the bulk of revenue and future growth.
- Broadcom's software portfolio holds legacy and mature businesses, like virtualization and mainframes, which we think will exhibit moderating growth.
- Broadcom relies heavily on acquisitions to expand its portfolio and may struggle to find deals large enough to move the needle that can pass antitrust scrutiny.

Economic Moat William Kerwin, CFA, Senior Equity Analyst, 1 Jun 2026

We believe Broadcom holds a wide economic moat stemming from intangible assets in chip design and switching costs for its software products. Strength in both chips and software allows the company to earn terrific accounting and economic profits, and we believe its competitive positioning will allow it to

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do so, more likely than not, for the next 20 years. While we see most of Broadcom's businesses as moaty in isolation, we believe its ability to aggregate disparate businesses via acquisitions and run them with terrific efficiency reinforces its wide moat. We see this wide moat evidenced in impressive operating and economic profit margins.

The majority of Broadcom's business is in semiconductors, with broad end-market exposure across enterprise networking, wireless chips for smartphones, broadband access, and storage applications. We see the two largest exposures here—networking and wireless chips—as benefiting from wide-moat design expertise in chip design.

In wireless, Broadcom is the top supplier of thin film bulk acoustic resonator, or FBAR, filters for high-end smartphones like the Apple iPhone, alongside Wi-Fi and Bluetooth chips. FBAR filters are a premium product, with better filtering, lower power consumption, and smaller size than other acoustic wave filters. FBARs are critical for new smartphones especially in the advent of 5G, allowing better reception of higher frequencies while extending battery life. In our view, FBARs require greater engineering complexity and are only successfully sold by a handful of firms, with Broadcom taking the lion's share of the market, thanks to 40 years of engineering and development. Broadcom boasts a strong relationship with Apple for placement into its iPhone models with these filters.

We don't foresee a new entrant encroaching on Broadcom's FBAR prowess and believe it would be difficult even for a rival smartphone chip supplier or for Apple itself. FBAR filters are built on nonsilicon materials like aluminum nitride, which raises barriers to entry, in our view, as expertise in nonsilicon materials is harder to find and develop. While mostly a fabless chipmaker, Broadcom keeps its FBAR manufacturing in-house to guard its design secrets. Though we hold concerns about customer concentration and typically see high reliance on large smartphone makers like Apple as erosive to economic moats, we view Broadcom's focus on the premium end of the market and its large technological lead as moaty. We estimate Broadcom's average dollar content sold into the iPhone to be close to $20 (with roughly $10 alone from modules including its FBAR filters), well above our estimates for peers like Skyworks ($12) and Qorvo ($5).

In networking chips, Broadcom is the premier player with a commanding market share. To us, intangible assets in networking chip design come in the form of engineering expertise, both in terms of silicon design and integration with complementary hardware and customer networking topologies, which results from decades of development, R&D expense, and established customer relationships. Broadcom has the most breadth and depth of any networking chipmaker, offering a bevy of feature-rich chips tailored to specific applications in enterprises, high-speed chips that stay one step ahead of the development of the competition, and a growing custom silicon business for hyperscale cloud players like Google. It holds marquee customer relationships with the largest networking equipment vendors, like Cisco and Arista Networks.

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We see greater competition in newer corners of the networking chip landscape, including optical transceivers (where we see leadership for Marvell Technology) and offload data processors (a crowded field featuring heavyweights like Intel and Nvidia). Nevertheless, we foresee minimal eating of Broadcom's core lunch of switching and routing for enterprises and clouds. Broadcom can outspend all its competitors on research and development to maintain its leadership. The firm estimates $50 million-$100 million in cumulative cost to build out a single new chip, and it has numerous networking chip lines on offer for a variety of tailored applications. We believe it can maintain the highest breadth and depth for switching and routing chips while staying highly competitive in newer areas like optical and processing offload.

Broadcom has significant exposure to enterprise software following its acquisition of VMware in 2023. Its primary exposures are virtualization software, mainframe software, development operations (DevOps) software, and cybersecurity primarily stemming from a string of acquisitions made following the initial Broadcom-Avago merger in 2016. We believe enterprise software is conducive to switching costs, including the tangible time, cost, and effort of finding a replacement, maintaining two systems concurrently during a transition, and managing any operational inefficiencies that result from the switch. Broadcom holds leading market share in virtualization and mainframe software. In virtualization, it dominates server virtualization for data centers and has expanded its offerings to storage virtualization, containerization, network management, and security to further embed itself in customers and make itself hard to rip out. In mainframe software, it focuses on security, monitoring, and analytics software to put primarily on IBM mainframes. IBM will often focus on the core data/payment processing software that requires specialized mainframes and leave Broadcom to specialize in complementary software. In DevOps, Broadcom is a strong player in a market with many options, including moaty businesses like Atlassian, ServiceNow, and Microsoft. In cybersecurity, Broadcom's Symantec brand is a legacy player with existing penetration, but that has struggled to transition to cloud security. We see the Carbon Black brand as more cutting-edge and better in cloud environments.

In software, we view Broadcom's strategic focus on a small group of large enterprise accounts as key to its moat. The firm is embedded in many different touchpoints in its key software customers, with more than 80% using more than five solutions (including security, DevOps, and mainframe software) per management. By focusing on selling multiple offerings into a concentrated bucket of large customers, we see Broadcom making itself difficult to rip out. We foresee Broadcom capitalizing on cross-selling opportunities between its legacy software and new VMware customer bases, enhancing its entrenchment. Replacing Broadcom may require finding three or more new vendors that may be unable to replicate its exact capabilities and may require updated workstreams and IT support. We also see the firm's mainframe and DevOps software as competitively strong, further defending Broadcom against aspiring disruptors. Finally, Broadcom's core software is almost entirely made up of recurring revenue and subscriptions, which increases stickiness, in our view.

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We see Broadcom deriving the vast majority of its sales from moaty businesses in software, networking chips, and wireless chips. We expect it to fend off serious competitive threats and maintain its impressive profitability over the next 20 years, more likely than not.

Fair Value and Profit Drivers William Kerwin, CFA, Senior Equity Analyst, 4 Jun 2026

Our fair value estimate is $650 per share. Our valuation implies fiscal 2026 (ending October 2026) and fiscal 2027 adjusted price/earnings multiples of 56 times and 34 times, respectively, and a fiscal 2026 enterprise value/sales multiple of 29 times. Against our 2028 earnings estimate, our valuation implies a 26 times multiple. This fits a more normal multiple after a superb period of growth, for a high-quality business we expect to continue growing in the mid to high teens. In our view, Broadcom's primary valuation driver going forward is the rapid growth of its AI chip business, which supports such high multiples.

We model 40% revenue growth for Broadcom through fiscal 2030, driven predominantly by the growth of its semiconductor revenue and primarily its AI chip business. Broadcom's non-AI chip businesses are increasingly negligible to results. AI revenue crossed over to the majority of total chip sales in fiscal 2025, and we expect them to make up the majority of total firm sales in fiscal 2026.

We model Broadcom's AI chip sales rising at 70%, annualized, through fiscal 2030. In fiscal 2026, we project AI revenue to nearly triple to $60 billion, and then double again in fiscal 2027 to $120 billion. In fiscal 2028, we model AI revenue approaching $200 billion. Our near-term astronomic growth projections are driven by increasing volumes at Google and the ramps of new customers like OpenAI and Anthropic. We believe growth will be durable, with rising spending at existing customers and new customers generating double-digit revenue through the end of the decade.

We see software as Broadcom's secondary growth driver but diminishing in impact versus the size and growth of the AI chip business over the next five years. We believe software growth will come primarily through upselling across Broadcom's base of around 3,000 large customers, between its virtualization (from VMware,) mainframe, DevOps, and security businesses. We see VMware as the firm's primary software growth driver. All in for software, we model 7% midcycle growth, with higher VMware growth partially offset by flatter growth from Broadcom's legacy software businesses. Software made up 42% of total sales in fiscal 2025, but we expect this to compress to the low double digits by fiscal 2030 as a result of immense AI chip growth.

We believe Broadcom will continue to exert operating leverage and keep operating expenses rising slower than sales growth. Broadcom did a terrific job cutting expenses after acquiring VMware. We expect margins to now be driven largely by the rise in mix of the custom AI chip business, which is gross-margin-dilutive but operating margin-accretive via volume leverage. We expect non-GAAP gross

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margins to compress below 70% in fiscal 2030, from 79% (actual) in fiscal 2025. Nonetheless, we expect non-GAAP operating margins to hold steady in the mid-60% range. Effectively, Broadcom charges a lower price on its custom AI chips in exchange for co-investment from customers that registers as negative operating expenses. We do model slight operating margin compression, but this comes via a higher mix of chip sales versus software—within chips themselves, we see these custom AI chips as operating-margin-accretive.

We model a bull case that implies Broadcom hits loftier custom chip targets in the medium term. In this case, we model $150 billion in AI chip revenue in fiscal 2027, nearing $225 billion in 2028. We also model these chips to be even more operating margin-accretive. These AI chip figures are achievable, but require no pushouts or delays in timing, nor do they account for risk of second-sourcing from customers lightly denting growth. This would represent about 15% upside to our base-case AI chip revenue estimate in 2028. Our bull case values Broadcom at $840 a share.

We also model a bear case worth $400 a share, which matches Broadcom's valuation following its June 3, 2026 earnings release. To justify this valuation, we'd need to assume Broadcom barely meeting its $100 billion AI chip revenue target in 2027, with growth tapering steeply from there. We would also model further gross margin dilution from these chips. Investors would have to see Broadcom's guidance as being barely achievable, not conservative, to value this way. Investors worried about a short-term deceleration in AI spending might adhere more closely to this scenario.

Risk and Uncertainty William Kerwin, CFA, Senior Equity Analyst, 1 Jun 2026

We assign a High Morningstar Uncertainty Rating to Broadcom. We see its primary risk arising from customer concentration and AI: Broadcom is increasingly concentrated in its AI accelerator business, which is made up of a handful of high-spending customers like Google and Anthropic. Changes in spending patterns from these customers and overall AI demand can create fluctuations in Broadcom's results and affect market sentiment on its stock. Broadcom's results and valuation are highly sensitive to the rate of AI investment over the next five years, and within that spending, the secular trend toward custom silicon. Slowdowns in spending, or higher competition from Nvidia and others, are the primary downside risks to results and our valuation.

Broadcom also operates with a high reliance on TSMC for its chip supply, and supply constraints could hamper its ability to ship to customers. Nonetheless, we believe Broadcom is a preferred customer of TSMC and would earn high priority in such a scenario—both for its scale and lengthy relationship.

We believe there is key-man risk with CEO Hock Tan, who is in his 70s. Tan has been integral to Broadcom's acquisition and operating strategy, and new management may fail to realize the impressive efficiencies of the current team. For now, Hock Tan is contracted with Broadcom through 2030, at which point he will be 77 years old. Even with Tan at the helm, Broadcom's reliance on acquisitions is risky.

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The firm is encountering greater regulatory pushback and seeing the size of targets inflate as the business grows. If Broadcom can't find sufficient targets, or overpays for a deal, it could destroy value.

On the environmental, social, and governance front, we see little risk for Broadcom, primarily resulting from hard-to-find engineering talent for wireless and networking chips.

Capital Allocation William Kerwin, CFA, Senior Equity Analyst, 1 Jun 2026

We give Broadcom an Exemplary Capital Allocation Rating based on our assessment of a sound balance sheet, appropriate shareholder distributions, and exceptional investments. In our view, Broadcom's investments are the biggest contributor to shareholder returns.

Broadcom's balance sheet is sound to us, with long-dated debt maturities and robust annual cash flow. Despite a larger debt load following the VMware acquisition, we already see the company as appropriately deleveraged and expect it to exit fiscal 2026 with a gross debt/adjusted EBITDA ratio below 1.0. We also see its shareholder distributions as appropriate. The firm targets 50% of prior-year free cash flow toward dividend payouts and often repurchases shares on top of that. Its shareholder payouts do not hamper its organic or inorganic investment, in our view.

We believe Broadcom's investments, both organic and inorganic, have created shareholder value and reinforced its competitive advantages. Broadcom uses inorganic growth as a key tenet of its strategy. CEO Hock Tan has been steering the ship since the days of stand-alone Avago and is a serial deal-maker. Recently, deals have been software-focused (Brocade, CA, Symantec, and VMware). We believe that up to this point, Broadcom has bought niche but moaty software businesses that have augmented its profit profile and overall moatiness. VMware was a departure from that trend as the dominant virtualization software provider but should still augment profits and maintain the moat, in our view. Tan and team's ability to trim expenses and augment target profitability—quickly—is key to our rating.

We don't see any lack of organic investment resulting from the firm's M&A record. In fact, this is the firm's best investment opportunity, in our view. Broadcom's $9 billion annual research and development budget helps it fortify its competitively advantaged existing businesses, in our view. The firm's prescient investments in developing compute capabilities with Google have set it up to be a material winner in AI chips and a meaningful rival to Nvidia. This business has come purely organically.

Analyst Notes Archive

Broadcom: Marvell's Google Chips Don't Alter Our XPU Bullishness on This Top Semis Pick William Kerwin, CFA,Senior Equity Analyst,20 Apr 2026

The Information reported Marvell Technology is working on two custom AI chips for Google. One would be a memory processor designed to work alongside Google's Tensor Processing Units and the other an AI compute chip, potentially an alternative to the TPU. Marvell shares rose 5% intraday on the news.

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Broadcom Inc AVGO ★★★★ 4 Jun 2026 03:06, UTC

Last Price	Fair Value Estimate	Price/FVE	Market Cap	Economic Moat™	Equity Style Box	Uncertainty	Capital Allocation
479.23 USD 3 Jun 2026	650.00 USD 4 Jun 2026 03:02, UTC	0.74	2.27 USD Tril 3 Jun 2026	Wide	Large Growth	High	Exemplary

Why it matters: Marvell's custom chip pipeline is growing, and we see this as a primary driver of results going forward. At the same time, we don't see this as bearish for Broadcom, which designs Google's TPU. We see these chips as complements within a multisourced AI infrastructure. Google would add another blue-chip customer to Marvell's custom chip business, which services AWS and Microsoft already. We believe the market has now come around to our optimism on Marvell's strong position for this opportunity. Broadcom faces competition from Google, MediaTek, and now Marvell, but we don't see these as materially affecting its growth. We project Broadcom to keep 90% of Google's TPU supply and already expect some incremental share for MediaTek as a second source. The bottom line: We maintain our $130 fair value estimate for narrow-moat Marvell and our $500 fair value estimate for wide-moat Broadcom. The announcement fits with our XPU growth thesis on both names. Marvell looks fairly valued to us, while we continue to view Broadcom as one of our top picks. Marvell's shares have risen 70% year to date, with strong market reactions to a $2 billion investment from Nvidia and the Google chip news. We now see the market aligned with our bullish growth thesis. Broadcom still looks undervalued to us. We see Broadcom as the undisputed market-share leader in custom AI compute chips and expect a strong positive catalyst when Anthropic's revenues begin to ramp later in 2026.

Broadcom: Are You Listening Yet? Latest XPU Announcement From Meta Aligns With Our Bullish XPU Call William Kerwin, CFA,Senior Equity Analyst,14 Apr 2026

Broadcom announced a multiyear partnership with Meta Platforms for its custom MTIA XPU chips. The partnership includes one gigawatt as the start of a multigigawatt buildout that encompasses XPUs, networking, and optical chips. No timeline was provided. Why it matters: The partnership aligns with our bullish XPU growth expectations for Broadcom through 2030. We believe XPUs are a critical complement to GPUs for large-scale inference customers pursuing better cost, better performance, and reduced vendor lock-in. We see this as an official publication of an existing partnership. Broadcom has already been Meta's MTIA partner for chip design, and Meta has been aggressively expanding its MTIA roadmap. This follows the public announcements from Anthropic and Google, with Broadcom announcing a week earlier. We project about 1 GW of MTIA capacity to ship through 2028 for Meta. This announcement likely indicates some upside to our short-term forecasts. Still, we look forward to hearing more specifics about the timing of shipments and how much of this is incremental. The bottom line: We maintain our $500 fair value estimate for wide-moat Broadcom, one of our top picks in the semis space. The announcement directionally agrees with our bullish XPU growth forecast, which underpins our call on the stock. Shares rose about 4% after hours, leaving them 20% below our valuation. Our XPU bullishness is the majority of our bullishness on Broadcom. We need to see 35% annualized earnings growth for the firm over the next five years to justify our valuation. This is led by our forecast for 75% five-year annualized XPU revenue growth through 2030. MTIAs are a minority of our Broadcom XPU forecast, which is dominated by external-facing model builders like Google, Anthropic, and OpenAI. Still, we see Meta as a key fourth customer, and the announcement potentially

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signals a larger opportunity down the road than we currently expect.

Broadcom: Google Agreement and Anthropic Commitment Agree With Our Bullish XPU Call William Kerwin, CFA,Senior Equity Analyst,7 Apr 2026

Broadcom and Google announced a long-term supply agreement for TPUs and networking chips, until 2031. Anthropic also announced plans to build out 3.5 gigawatts of data center capacity based on Google's TPUs, split between direct buildouts and rental capacity from Google Cloud Platform. Why it matters: The news fits our bullish XPU growth expectations for Broadcom through 2030. We expect 75% annualized XPU sales growth for Broadcom for the next five years, with the TPU comprising 80% of this revenue, between Google's internal usage and sales to external customers like Anthropic. We see Anthropic's rapid ramp as a material catalyst to Broadcom stock over the next 18 months. From no revenue today, we model $20 billion in sales to Anthropic in the second half of 2026, rising to $60 billion in 2027. We don't see this fully priced in today. Anthropic's pursuit of TPU capacity agrees with our long-term complementary thesis on XPUs. We believe an all-of-the-above approach, using GPUs, TPUs, and XPUs, avails customers to more supply, reduces vendor lock-in, and enables the best performance for each distinct application. The bottom line: We maintain our $500 fair value estimate for wide-moat Broadcom, one of our top picks in semiconductors. It is the closest to a pure-play on XPUs, with a commanding market share, and we expect share gains over Nvidia going forward. Investors currently have a great entry point. Our XPU bullishness informs our Broadcom call. We already see XPUs driving most of Broadcom's growth and incremental profits, and expect XPUs to contribute more than 70% of total firm EPS by 2030. To justify our call, we need to see 35% annualized earnings growth over the next five years. Broadcom shares have languished since December 2025 over fears of XPU profitability and of competition with MediaTek. We don't see either as a material threat to results or valuation. The long-term agreement with Google should assuage some fears of losing share to MediaTek.

Broadcom Earnings: Gigawatts Galore William Kerwin, CFA,Senior Equity Analyst,5 Mar 2026

Broadcom's January-quarter sales beat guidance, led by artificial intelligence chip sales of $8.4 billion. April-quarter guidance implies near-30% sequential AI chip growth, to $10.7 billion. Management further guided to at least $100 billion in AI chip revenue in fiscal 2027.Why it matters: Broadcom is a dominant force in AI compute chips, second only to Nvidia. It controls the custom AI chip market with the largest customer (Google) and the most customers overall. Upcoming ramps for Anthropic and OpenAI portend enormous growth in the next two years. Broadcom expects to ship AI chips supporting 10 gigawatts of capacity in fiscal 2027, which is massive. We think the $100 billion figure is conservative, with upside coming from Broadcom's rack shipments to Anthropic. Still, this implies AI sales doubling in 2027 after nearly tripling in 2026. We're skeptical of management's claim that AI chips won't dilute gross margin. By our work, these chips dilute gross margin but expand operating margin. If Broadcom raises prices to maintain gross margin, there's upside to our forecast. Either way, we see AI

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chips as earnings-accretive. The bottom line: We raise our fair value estimate for wide-moat Broadcom to $500, from $480, as 2027 guidance exceeded our expectations and implies rapid ramps for Anthropic and OpenAI. Shares remain about 25% below recent highs in December 2025, and we see immense upside for investors. Shares have flagged on lower AI sentiment and concerns over AI chip margins. We're confident in AI spending holding up over the next three years, and believe these chips are earnings-accretive regardless of debates over gross margin. We see Anthropic's first revenue in late 2026 as a catalyst. Shares currently trade closer to our bear case, which would value the stock at $300. To justify our bear-case assumptions, one would have to assume a significant correction in AI spending after 2028, with little AI growth thereafter. To us, this seems overly bearish.

Broadcom Earnings: Buy the Dip Before the Rocket Takes Off William Kerwin, CFA,Senior Equity Analyst,12 Dec 2025

Broadcom posted strong fiscal fourth-quarter results above guidance. Guidance for January-quarter artificial intelligence revenue was impressive, as was a new $11 billion AI chip order from Anthropic for the second half of 2026, and the announcement of a new custom AI chip customer in 2026. Why it matters: Broadcom's AI chip business is accelerating, and we project even greater astronomic growth over the next two years. We see phenomenal demand for Google's TPU chip, layering in of new customers, and big incremental orders from existing customers driving immense demand. Google is the firm's lead AI customer, and the latest generation of its TPU chip exhibits superb performance that is driving significant orders. The TPU is no longer exclusively internal to Google—we now expect significant orders from Anthropic and Meta for these chips and systems. Anthropic will accrue revenue in the second half of fiscal 2026, with $21 billion in wholly incremental orders. Broadcom's brand new customer adds $1 billion in incremental revenue in fiscal 2026. In 2027, we expect OpenAI to supplement the firm's existing five customers. The bottom line: We raise our fair value estimate for wide-moat Broadcom to $480 per share, from $365, behind a significantly stronger AI chip growth forecast. We see a 5% after-hours selloff as missing the forest for the trees. Investors now have a terrific opportunity to buy into an AI winner. We attribute the selloff to commentary on gross margin dilution from AI chips. We aren't concerned with this, given that these chips are operating-margin-accretive. The firm's AI backlog might've missed investor targets too, but we see upside to this and view it highly positively. We now expect an even larger surge in second-half fiscal 2026 revenue behind the second Anthropic order. We forecast total AI chip revenue to far more than double in fiscal 2026, and see significant momentum continuing into 2027.

Broadcom: Latest in OpenAI's Deal Spree Adds More Fuel to Broadcom's AI Growth William Kerwin, CFA,Senior Equity Analyst,13 Oct 2025

On Oct. 13, Broadcom and OpenAI announced a partnership for sales of custom AI accelerators and Ethernet networking chips to support 10 gigawatts of data center capacity. Broadcom expects

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deployment to start in the second half of 2026 and run through 2029. Broadcom shares rose 10% intraday.Why it matters: This massive deal exceeds AMD's recent agreement with OpenAI for 6 gigawatts of capacity. We think it reflects the immense demand for generative artificial intelligence infrastructure. It also validates Broadcom's status as a heavyweight rival to Nvidia in accelerated computing. Generative AI is an immense opportunity for Broadcom as it partners with many major AI model builders for either compute or networking. This deal expands the company's customer base and augments its rapid growth opportunity over the next five years. OpenAI is Broadcom's fifth custom accelerator customer, after a yet-unnamed fourth customer announced in September. Both of these customers should drive a revenue inflection in 2026 and 2027, on top of existing customers Google, Meta, and ByteDance.The bottom line: We have raised our fair value estimate for wide-moat Broadcom to $365 per share from $325 as we increase our AI revenue estimates to account for the deal. We expect incremental accelerator and networking revenue to drive stunning growth through 2029. The shares look fairly valued. Broadcom had guided to $10 billion in new revenue in fiscal 2026 from the fourth customer and hinted at an acceleration in fiscal 2027, but we now expect even stronger growth. We expect AI revenue to double to $40 billion in fiscal 2026 and nearly double again in fiscal 2027. We see this as a long-term growth runway for Broadcom. We expect existing customers to expand orders of custom compute and networking chips as they build bigger models. We also expect more customers to come onboard, augmenting Broadcom's sales.

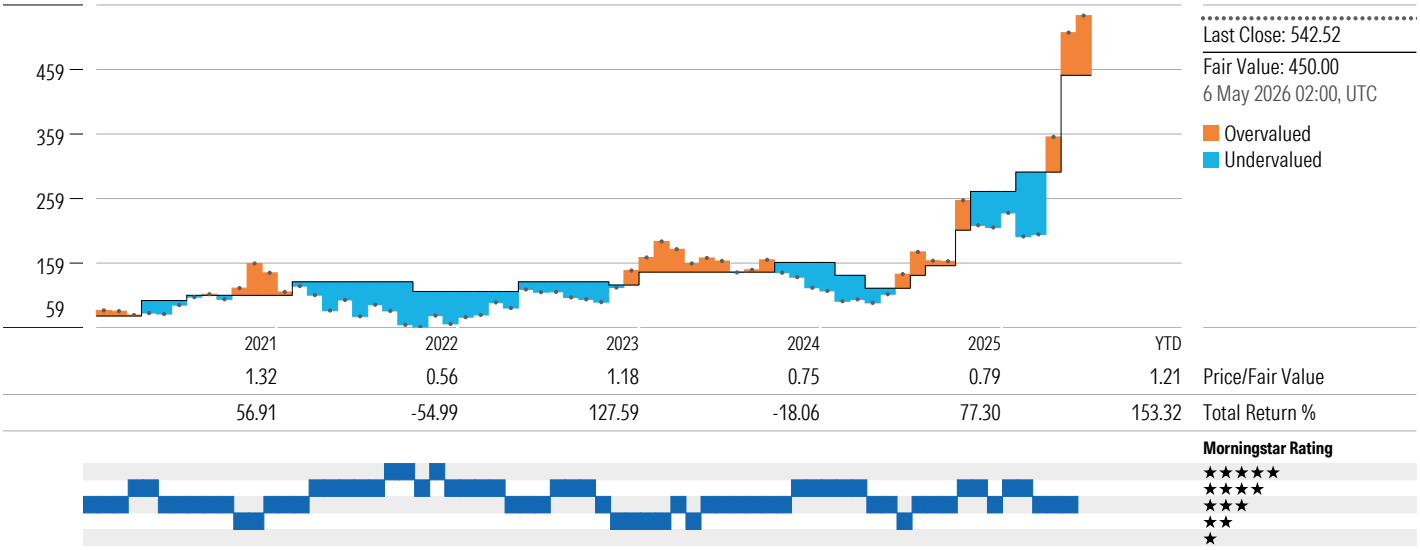
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Competitors Price vs. Fair Value

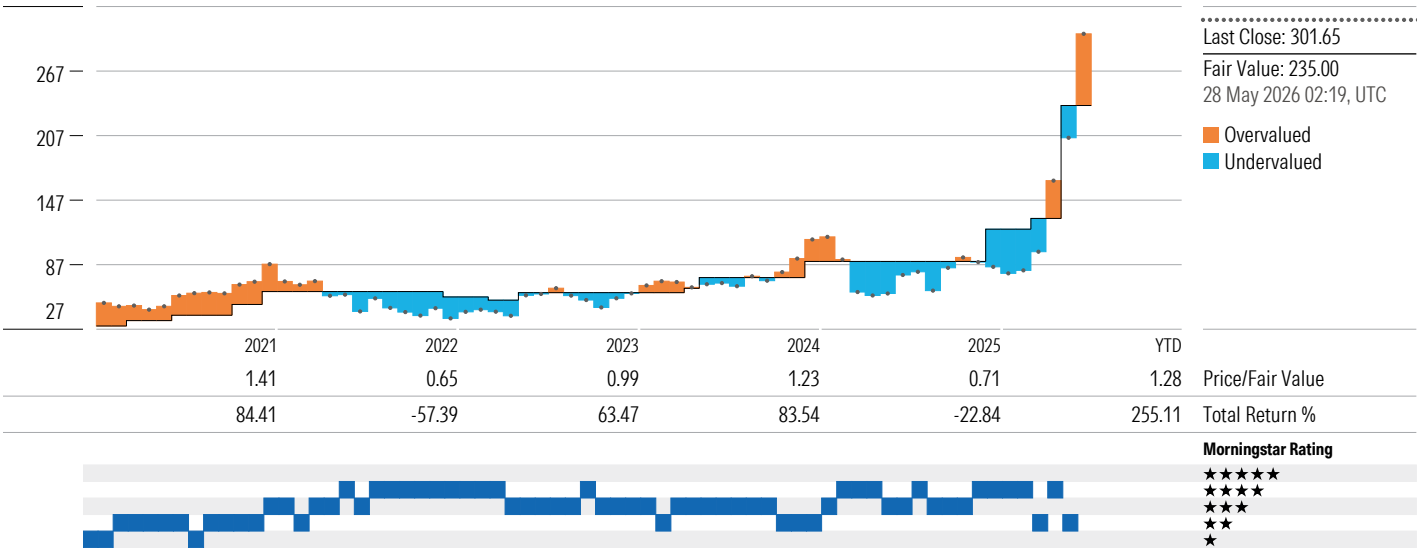
Advanced Micro Devices Inc AMD



	2021	2022	2023	2024	2025	YTD	
	1.32	0.56	1.18	0.75	0.79	1.21	Price/Fair Value
	56.91	-54.99	127.59	-18.06	77.30	153.32	Total Return %

Total Return % as of 03 Jun 2026. Last Close as of 03 Jun 2026. Fair Value as of 6 May 2026 02:00, UTC.

Marvell Technology Inc MRVL



	2021	2022	2023	2024	2025	YTD	
	1.41	0.65	0.99	1.23	0.71	1.28	Price/Fair Value
	84.41	-57.39	63.47	83.54	-22.84	255.11	Total Return %

Total Return % as of 03 Jun 2026. Last Close as of 03 Jun 2026. Fair Value as of 28 May 2026 02:19, UTC.

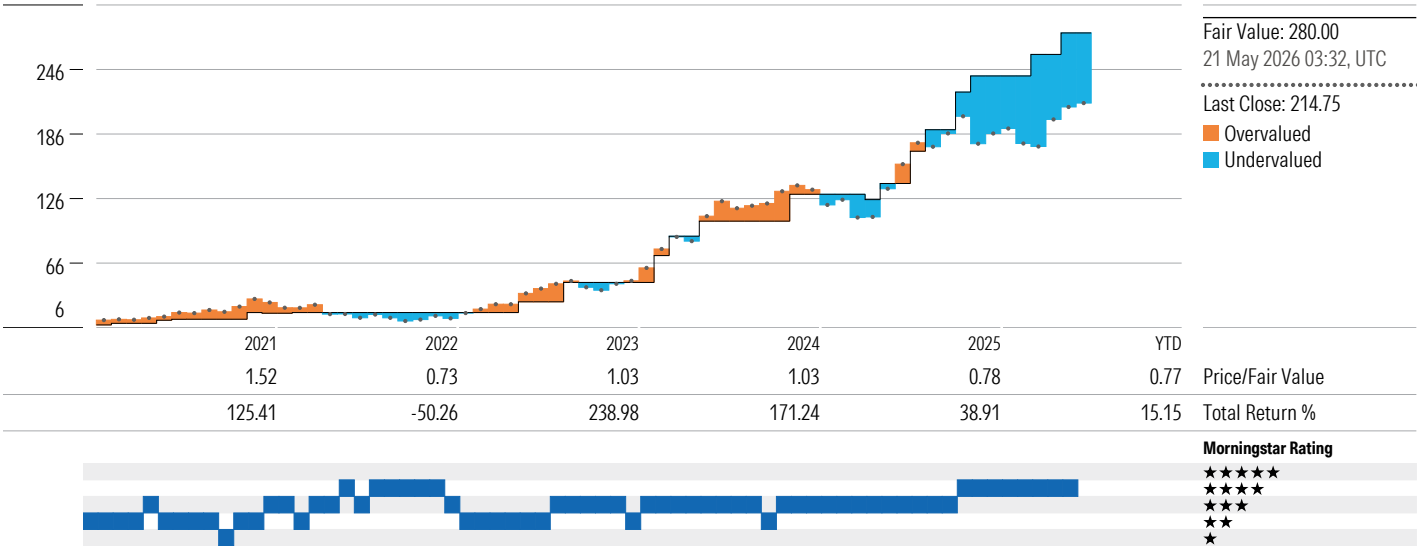
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Competitors Price vs. Fair Value

NVIDIA Corp NVDA



Total Return % as of 03 Jun 2026. Last Close as of 03 Jun 2026. Fair Value as of 21 May 2026 03:32, UTC.

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Morningstar Valuation Model Summary

Financials as of 03 Jun 2026	Actual			Forecast				
Fiscal Year, ends 31 Oct	2023	2024	2025	2026	2027	2028	2029	2030
Revenue (USD Mil)	35,819	51,574	63,887	106,369	177,368	253,873	307,898	356,665
Operating Income (USD Mil)	16,451	14,996	26,075	53,417	96,692	141,917	174,674	203,971
EBITDA (USD Mil)	20,042	23,473	34,259	61,561	104,148	148,454	180,291	208,675
Adjusted EBITDA (USD Mil)	23,213	31,897	43,004	72,106	117,836	166,036	201,098	232,909
Net Income (USD Mil)	14,082	5,895	23,126	43,300	77,127	104,694	131,674	155,566
Adjusted Net Income (USD Mil)	18,040	23,251	33,114	56,307	92,987	122,087	150,556	176,213
Free Cash Flow To The Firm (USD Mil)	17,306	2,643	29,760	47,574	55,758	111,447	99,623	142,881
Weighted Average Diluted Shares Outstanding (Mil)	4,270	4,778	4,853	4,872	4,837	4,792	4,734	4,664
Earnings Per Share (Diluted) (USD)	3.30	1.23	4.77	8.89	15.95	21.85	27.82	33.36
Adjusted Earnings Per Share (Diluted) (USD)	4.22	4.87	6.82	11.56	19.23	25.48	31.80	37.78
Dividends Per Share (USD)	1.84	2.10	2.36	2.60	3.00	3.40	4.00	4.60

Margins & Returns as of 03 Jun 2026		Actual			Forecast					
	3 Year Avg	2023	2024	2025	2026	2027	2028	2029	2030	5 Year Avg
Operating Margin %	37.1	45.9	29.1	40.8	50.2	54.5	55.9	56.7	57.2	54.8
EBITDA Margin %	—	56.0	45.5	53.6	57.9	58.7	58.5	58.6	58.5	—
Adjusted EBITDA Margin %	—	64.8	61.9	67.3	67.8	66.4	65.4	65.3	65.3	66.1
Net Margin %	29.0	39.3	11.4	36.2	40.7	43.5	41.2	42.8	43.6	42.4
Adjusted Net Margin %	49.1	50.4	45.1	51.8	52.9	52.4	48.1	48.9	49.4	50.3
Free Cash Flow To The Firm Margin %	33.3	48.3	5.1	46.6	44.7	31.4	43.9	32.4	40.1	38.5

Growth & Ratios as of 03 Jun 2026		Actual			Forecast					
	3 Year CAGR	2023	2024	2025	2026	2027	2028	2029	2030	5 Year CAGR
Revenue Growth %	24.4	7.9	44.0	23.9	66.5	66.8	43.1	21.3	15.8	41.1
Operating Income Growth %	22.2	15.2	-8.8	73.9	104.9	81.0	46.8	23.1	16.8	50.9
EBITDA Growth %	22.5	4.3	17.1	46.0	79.7	69.2	42.5	21.5	15.7	45.7
Adjusted EBITDA Growth %	26.9	10.4	37.4	34.8	67.7	63.4	40.9	21.1	15.8	40.2
Earnings Per Share Growth %	21.6	24.3	-62.6	286.2	86.5	79.4	37.0	27.3	19.9	47.6
Adjusted Earnings Per Share Growth %	21.6	12.2	15.2	40.2	69.4	66.4	32.5	24.8	18.8	47.6

Valuation as of 03 Jun 2026	Actual			Forecast				
	2023	2024	2025	2026	2027	2028	2029	2030
Price/Earning	19.9	34.9	54.2	41.5	24.9	18.8	15.1	12.7
Price/Sales	9.7	15.4	27.3	21.3	12.8	8.9	7.4	6.4
Price/Book	15.0	12.0	22.1	26.2	18.5	13.4	9.9	7.6
Price/Cash Flow	—	—	—	—	—	—	—	—
EV/EBITDA	16.2	26.7	41.8	32.2	19.7	14.0	11.5	10.0
EV/EBIT	22.8	56.9	69.0	43.4	24.0	16.4	13.3	11.4
Dividend Yield %	2.2	1.2	0.6	0.5	0.6	0.7	0.8	1.0
Dividend Payout %	43.6	43.2	34.6	22.5	15.6	13.4	12.6	12.2
Free Cash Flow Yield %	—	—	—	—	—	—	—	—

Operating Performance / Profitability as of 03 Jun 2026	Actual			Forecast				
Fiscal Year, ends 31 Oct	2023	2024	2025	2026	2027	2028	2029	2030
ROA %	19.3	3.6	13.5	22.8	32.4	35.5	36.3	35.6
ROE %	58.7	8.7	28.4	48.6	61.7	60.9	57.4	53.1
ROIC %	22.5	18.2	19.2	32.4	49.0	62.5	66.0	65.9

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Broadcom Inc AVGO ★★★★ 4 Jun 2026 03:06, UTC

Last Price	Fair Value Estimate	Price/FVE	Market Cap	Economic Moat™	Equity Style Box	Uncertainty	Capital Allocation
479.23 USD 3 Jun 2026	650.00 USD 4 Jun 2026 03:02, UTC	0.74	2.27 USD Tril 3 Jun 2026	Wide	Large Growth	High	Exemplary

Financial Leverage (Reporting Currency)	Actual			Forecast				
Fiscal Year, ends 31 Oct	**2023**	**2024**	**2025**	**2026**	**2027**	**2028**	**2029**	**2030**
Debt/Capital %	10.2	7.9	3.6	1.9	1.7	1.4	1.2	0.9
Assets/Equity	3.0	2.4	2.1	2.1	1.9	1.7	1.6	1.5
Net Debt/EBITDA	1.2	2.5	1.4	0.5	0.1	-0.3	-0.4	-0.6
Total Debt/EBITDA	1.7	2.1	1.5	0.9	0.5	0.3	0.2	0.2
EBITDA/ Net Interest Expense	20.9	9.0	15.6	27.5	36.8	11.4	14.1	16.6

Forecast Revisions as of 3 Jun 2026	2026		2027		2028	
Prior data as of 1 Jun 2026	**Current**	**Prior**	**Current**	**Prior**	**Current**	**Prior**
Fair Value Estimate Change (Trading Currency)	650.00	549.97	—	—	—	—
Revenue (USD Mil)	106,369	105,794	177,368	167,923	253,873	236,319
Operating Income (USD Mil)	53,417	51,064	96,692	84,496	141,917	122,816
EBITDA (USD Mil)	72,106	70,023	117,836	105,640	166,036	146,718
Net Income (USD Mil)	56,307	54,178	92,987	82,948	122,087	106,633
Earnings Per Share (Diluted) (USD)	8.89	8.24	15.95	13.85	21.85	18.62
Adjusted Earnings Per Share (Diluted) (USD)	11.56	11.13	19.23	17.17	25.48	22.29
Dividends Per Share (USD)	2.60	2.60	3.00	3.00	3.40	3.40

Key Valuation Drivers as of 03 Jun 2026

Cost of Equity %	9.0
Pre-Tax Cost of Debt %	4.3
Weighted Average Cost of Capital %	8.9
Long-Run Tax Rate %	—
Stage II EBI Growth Rate %	9.0
Stage II Investment Rate %	20.0
Perpetuity Year	20

Additional estimates and scenarios available for download at https://pitchbook.com/.

Discounted Cash Flow Valuation as of 03 Jun 2026

	USD Mil
Present Value Stage I	318,455
Present Value Stage II	1,348,168
Present Value Stage III	1,389,020
Total Firm Value	**3,055,643**
Cash and Equivalents	16,178
Debt	65,136
Other Adjustments	0
Equity Value	**3,006,685**
Projected Diluted Shares	4,855
Fair Value per Share (USD)	**650.00**

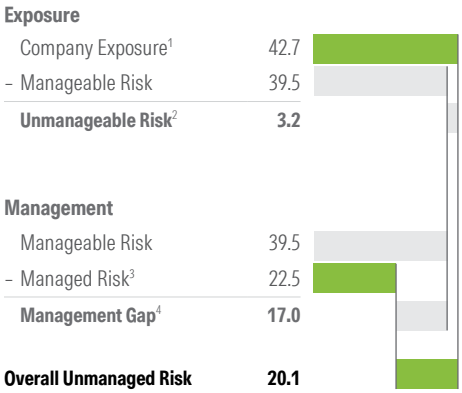
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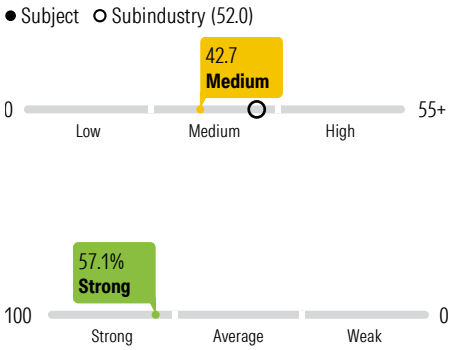
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Broadcom Inc AVGO ★★★★ 4 Jun 2026 03:06, UTC

Last Price	Fair Value Estimate	Price/FVE	Market Cap	Economic Moat™	Equity Style Box	Uncertainty	Capital Allocation
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ESG Risk Rating Breakdown

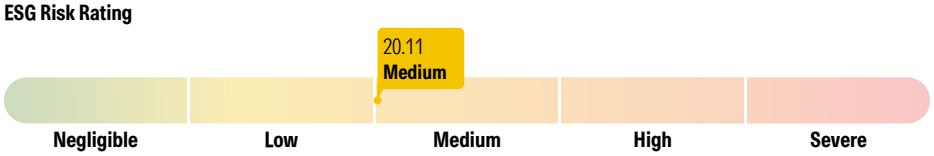




- Exposure represents a company's vulnerability to ESG risks driven by their business model
- Exposure is assessed at the Subindustry level and then specified at the company level
- Scoring ranges from 0-55+ with categories of low, medium, and high-risk exposure

- Management measures a company's ability to manage ESG risks through its commitments and actions
- Management assesses a company's efficiency on ESG programs, practices, and policies
- Management score ranges from 0-100% showing how much manageable risk a company is managing

ESG Risk Rating



ESG Risk Ratings measure the degree to which a company's value is impacted by environmental, social, and governance risks, by evaluating the company's ability to manage the ESG risks it faces.

ESG Risk Rating is of Jun 03, 2026. Highest Controversy Level is as of May 08, 2026. Sustainalytics Subindustry: Semiconductor Design and Manufacturing. Sustainalytics provides Morningstar with company ESG ratings and metrics on a monthly basis and as such, the ratings in Morningstar may not necessarily reflect current Sustainalytics' scores for the company. For the most up to date rating and more information, please visit: sustainalytics.com/esg-ratings/.

1. A company's Exposure to material ESG issues 2. Unmanageable Risk refers to risks that are inherent to a particular business model that cannot be managed by programs or initiatives 3. Managed Risk = Manageable Risk multiplied by a Management score of 57.1% 4. Management Gap assesses risks that are not managed, but are considered manageable 5. ESG Risk Rating Assessment = Overall Unmanaged Risk = Management Gap plus Unmanageable Risk

Peer Analysis 03 Jun 2026

Peers are selected from the company's Sustainalytics-defined Subindustry and are displayed based on the closest market cap values

Company Name	Exposure			Management			ESG Risk Rating		
Broadcom Inc	42.7 | Medium	0	55+	57.1 | Strong	100	0	20.1 | Medium	0	40+
Marvell Technology Inc	32.0 | Low	0	55+	61.7 | Strong	100	0	13.6 | Low	0	40+
Qualcomm Inc	44.5 | Medium	0	55+	68.0 | Strong	100	0	16.5 | Low	0	40+
NVIDIA Corp	30.2 | Low	0	55+	62.9 | Strong	100	0	12.4 | Low	0	40+
All Winner Technology Co Ltd	48.0 | Medium	0	55+	12.6 | Weak	100	0	42.5 | Severe	0	40+

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Appendix

Historical Morningstar Rating

Broadcom Inc AVGO 3 Jun 2026 05:00, UTC

Dec 2026	Nov 2026	Oct 2026	Sep 2026	Aug 2026	Jul 2026	Jun 2026	May 2026	Apr 2026	Mar 2026	Feb 2026	Jan 2026
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Advanced Micro Devices Inc AMD 3 Jun 2026 05:00, UTC

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Marvell Technology Inc MRVL 3 Jun 2026 05:00, UTC

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Dec 2021	Nov 2021	Oct 2021	Sep 2021	Aug 2021	Jul 2021	Jun 2021	May 2021	Apr 2021	Mar 2021	Feb 2021	Jan 2021
★★	★★	★★	★★	★	★★	★★	★★	★★	★★	★	★

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NVIDIA Corp NVDA 3 Jun 2026 05:00, UTC

Dec 2026	Nov 2026	Oct 2026	Sep 2026	Aug 2026	Jul 2026	Jun 2026	May 2026	Apr 2026	Mar 2026	Feb 2026	Jan 2026
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★★	★★	★	★★	★★	★★	★★	★★★	★★	★★	★★	★★

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Research Methodology for Valuing Companies

Overview

At the heart of our valuation system is a detailed projection of a company's future cash flows, resulting from our analysts' research. Analysts create custom industry and company assumptions to feed income statement, balance sheet, and capital investment assumptions into our globally standardized, proprietary discounted cash flow, or DCF, modeling templates. We use scenario analysis, indepth competitive advantage analysis, and a variety of other analytical tools to augment this process. Moreover, we think analyzing valuation through discounted cash flows presents a better lens for viewing cyclical companies, high-growth firms, businesses with finite lives (e.g., mines), or companies expected to generate negative earnings over the next few years. That said, we don't dismiss multiples altogether but rather use them as supporting cross-checks for our DCF-based fair value estimates. We also acknowledge that DCF models offer their own challenges (including a potential proliferation of estimated inputs and the possibility that the method may miss shortterm market-price movements), but we believe these negatives are mitigated by deep analysis and our longterm approach.

Morningstar's equity research group ("we," "our") believes that a company's intrinsic worth results from the future cash flows it can generate. The Morningstar Rating for stocks identifies stocks trading at a discount or premium to their intrinsic worth—or fair value estimate, in Morningstar terminology. Five-star stocks sell for the biggest risk adjusted discount to their fair values, whereas 1-star stocks trade at premiums to their intrinsic worth.

Four key components drive the Morningstar rating: (1) our assessment of the firm's economic moat, (2) our estimate of the stock's fair value, (3) our uncertainty around that fair value estimate and (4) the current market price. This process ultimately culminates in our singlepoint star rating.

1. Economic Moat

The concept of an economic moat plays a vital role not only in our qualitative assessment of a firm's long-term investment potential, but also in the actual calculation of our fair value estimates. An economic moat is a structural feature that allows a firm to sustain excess profits over a long period of time. We define economic profits as returns on invested capital (or ROIC) over and above our estimate of a firm's cost of capital, or weighted average cost of capital (or WACC). Without a moat, profits are more susceptible to competition. We have identified five sources of economic moats: intangible assets, switching costs, network effect, cost advantage, and efficient scale.

Companies with a narrow moat are those we believe are more likely than not to achieve normalized excess returns for at least the next 10 years. Wide-moat companies are those in which we have very high confidence that excess returns will remain for 10 years, with excess returns more likely than not to remain for at least 20 years. The longer a firm generates economic profits, the higher its intrinsic value. We believe low-quality, no-moat companies will see their normalized returns gravitate toward the firm's cost of capital more quickly than companies with moats.

When considering a company's moat, we also assess whether there is a substantial threat of value destruction, stemming from risks related to ESG, industry disruption, financial health, or other idiosyncratic issues. In this context, a risk is considered potentially value destructive if its occurrence would eliminate a firm's economic profit on a cumulative or midcycle basis. If we deem the probability of occurrence sufficiently high, we would not characterize the company as possessing an economic moat.

2. Estimated Fair Value

Combining our analysts' financial forecasts with the firm's economic moat helps us assess how long returns on invested capital are likely to exceed the firm's cost of capital. Returns of firms with a wide economic moat rating are assumed to fade to the perpetuity period over a longer period of time than the returns of narrow-moat firms, and both will fade slower than no-moat firms, increasing our estimate of their intrinsic value.

Our model is divided into three distinct stages:

Stage I: Explicit Forecast

In this stage, which can last five to 10 years, analysts make full financial statement forecasts, including items such as revenue, profit margins, tax rates, changes in workingcapital accounts, and capital spending. Based on these projections, we calculate earnings before interest, after taxes (EBI) and the net new investment (NNI) to derive our annual free cash flow forecast.

Stage II: Fade

The second stage of our model is the period it will take the company's return on new invested capital—the return on capital of the next dollar invested ("RONIC")—to decline (or rise) to its cost of capital. During the Stage II period, we use a formula to approximate cash flows in lieu of explicitly modeling the income statement, balance sheet, and cash flow statement as we do in Stage I. The length of the second stage depends on the strength of the company's economic moat. We forecast this period to last anywhere from one year (for companies with no economic moat) to 10–15 years or more (for wide-moat companies). During this period, cash flows are forecast using four assumptions: an average growth rate for EBI over the period, a normalized investment rate, average return on new invested capital (RONIC), and the number of years until perpetuity, when excess returns cease. The investment rate and return on new invested capital decline until a perpetuity value is calculated. In the case of firms that do not earn their cost of capital, we assume marginal ROICs rise to the firm's cost of capital (usually attributable to less reinvestment), and we may truncate the second stage.

Stage III: Perpetuity

Once a company's marginal ROIC hits its cost of capital, we calculate a continuing value, using a standard perpetuity formula. At perpetuity, we assume that any growth or decline or investment in the business neither creates nor destroys value and that any new investment provides a return in line with estimated WACC.

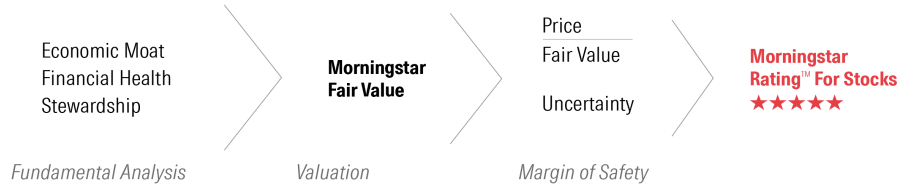
Because a dollar earned today is worth more than a dollar earned tomorrow, we discount our projections of cash flows in stages I, II, and III to arrive at a total present value of expected future cash flows. Because we are modeling free cash flow to the firm—representing cash available to provide a return to all capital providers—we discount future cash flows using the WACC, which is a weighted average of the costs of equity, debt, and preferred stock (and any other funding sources), using expected future proportionate long-term, market-value weights.

3. Uncertainty Around That Fair Value Estimate

Morningstar's Uncertainty Rating is designed to capture the range of potential outcomes for a company's intrinsic value. This rating is used to assign the margin of safety required before investing, which in turn explicitly drives our stock star rating system. The Uncertainty Rating is aimed at identifying the confidence we should have in assigning a fair value estimate for a given stock.

Our Uncertainty Rating is meant to take into account anything that can increase the potential dispersion of future

Morningstar Equity Research Star Rating Methodology



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Research Methodology for Valuing Companies

outcomes for the intrinsic value of a company, and anything that can affect our ability to accurately predict these outcomes. The rating begins with a suggested rating produced by a quantitative process based on the trailing 12-month standard deviation of daily stock returns. An analyst overlay is then applied, with analysts using the suggested rating, historical rating data, and their own knowledge of the company to inform them as they make the final Uncertainty Rating decision. Ultimately, the rating decision rests with the analyst. Analysts take into account many characteristics when making their final decision, including cyclical factors, operational and financial factors such as leverage, company-specific events, ESG risks, and anything else that might increase the potential dispersion of future outcomes and our ability to estimate those outcomes.

Our recommended margin of safety—the discount to fair value demanded before we'd recommend buying or selling the stock—widens as our uncertainty of the estimated value of the equity increases. The more uncertain we are about the potential dispersion of outcomes, the greater the discount we require relative to our estimate of the value of the firm before we would recommend the purchase of the shares. In addition, the Uncertainty Rating provides guidance in portfolio construction based on risk tolerance.

Our Uncertainty Ratings are: Low, Medium, High, Very High, and Extreme.

	Margin of Safety	
Qualitative Analysis Uncertainty Ratings	★★★★★Rating	★Rating
Low	20% Discount	25% Premium
Medium	30% Discount	35% Premium
High	40% Discount	55% Premium
Very High	50% Discount	75% Premium
Extreme	75% Discount	300% Premium

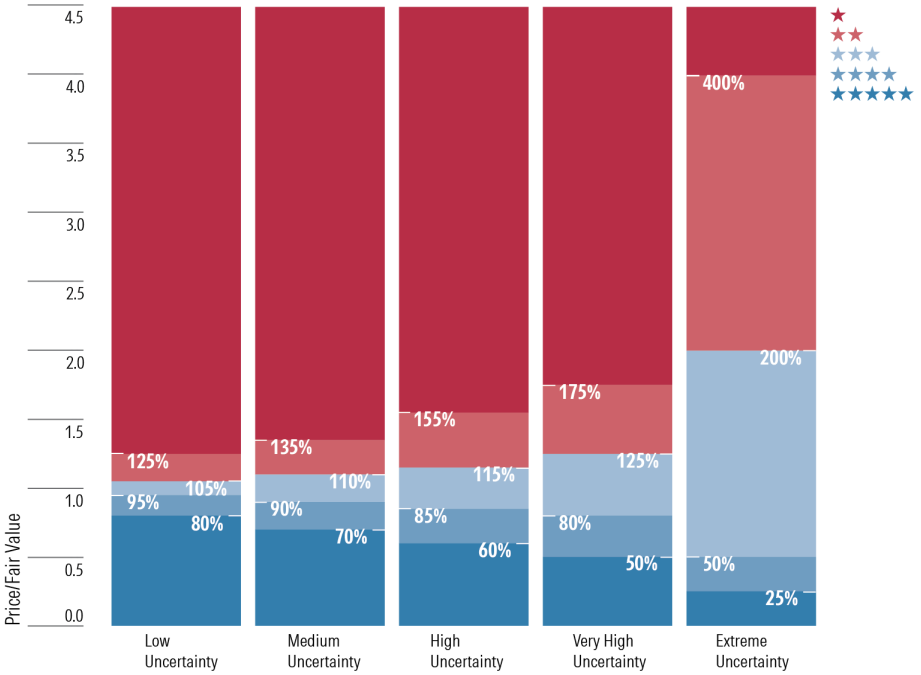
Our uncertainty rating is based on the interquartile range, or the middle 50% of potential outcomes, covering the 25th percentile–75th percentile. This means that when a stock hits 5 stars, we expect there is a 75% chance that the intrinsic value of that stock lies above the current market price. Similarly, when a stock hits 1 star, we expect there is a 75% chance that the intrinsic value of that stock lies below the current market price.

4. Market Price

The market prices used in this analysis and noted in the report come from exchange on which the stock is listed which we believe is a reliable source.

For more details about our methodology, please go to https://shareholders.morningstar.com

Morningstar Equity Research Star Rating Methodology



Morningstar Star Rating for Stocks

Once we determine the fair value estimate of a stock, we compare it with the stock's current market price on a daily basis, and the star rating is automatically re-calculated at the market close on every day the market on which the stock is listed is open. Our analysts keep close tabs on the companies they follow, and, based on thorough and ongoing analysis, raise or lower their fair value estimates as warranted.

Please note, there is no predefined distribution of stars. That is, the percentage of stocks that earn 5 stars can fluctuate daily, so the star ratings, in the aggregate, can serve as a gauge of the broader market's valuation. When there are many 5-star stocks, the stock market as a whole is more undervalued, in our opinion, than when very few companies garner our highest rating.

We expect that if our base-case assumptions are true the market price will converge on our fair value estimate over time generally within three years (although it is impossible to predict the exact time frame in which market prices may adjust).

Our star ratings are guideposts to a broad audience and individuals must consider their own specific investment goals, risk tolerance, tax situation, time horizon, income needs, and complete investment portfolio, among other factors.

The Morningstar Star Ratings for stocks are defined below:

★★★★★ We believe appreciation beyond a fair risk adjusted return is highly likely over a multiyear time frame. Scenario analysis developed by our analysts indicates that the current market price represents an excessively pessimistic outlook, limiting downside risk and maximizing upside potential.

★★★★ We believe appreciation beyond a fair risk-adjusted return is likely.

★★★ Indicates our belief that investors are likely to receive a fair risk-adjusted return (approximately cost of equity).

★★ We believe investors are likely to receive a less than fair risk-adjusted return.

★ Indicates a high probability of undesirable risk-adjusted returns from the current market price over a multiyear time frame, based on our analysis. Scenario analysis by our analysts indicates that the market is pricing in an excessively optimistic outlook, limiting upside potential and leaving the investor exposed to Capital loss.

Other Definitions

Last Price: Price of the stock as of the close of the market of the last trading day before date of the report.

Capital Allocation Rating: Our Capital Allocation (or Stewardship) Rating represents our assessment of the quality of management's capital allocation, with particular emphasis on the firm's balance sheet, investments,

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Capital Allocation (or Stewardship) analysis published prior to Dec. 9, 2020, was determined using a different process. Beyond investment strategy, financial leverage, and dividend and share buyback policies, analysts also considered execution, compensation, related party transactions, and accounting practices in the rating.

Capital Allocation Rating: Our Capital Allocation (or Stewardship) Rating represents our assessment of the quality of management's capital allocation, with particular emphasis on the firm's balance sheet, investments, and shareholder distributions. Analysts consider companies' investment strategy and valuation, balance sheet management, and dividend and share buyback policies. Corporate governance factors are only considered if they are likely to materially impact shareholder value, though either the balance sheet, investment, or shareholder distributions. Analysts assign one of three ratings: "Exemplary", "Standard", or "Poor". Analysts judge Capital Allocation from an equity holder's perspective. Ratings are determined on a forward looking and absolute basis. The Standard rating is most common as most managers will exhibit neither exceptionally strong nor poor capital allocation.

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Sustainalytics' ESG Risk Ratings measure the degree to which company's economic value at risk is driven by environment, social and governance (ESG) factors.

Sustainalytics analyzes over 1,300 data points to assess a company's exposure to and management of ESG risks. In other words, ESG Risk Ratings measures a company's unmanaged ESG Risks represented as a quantitative score. Unmanaged Risk is measured on an open-ended scale starting at zero (no risk) with lower scores representing less unmanaged risk and, for 95% of cases, the unmanaged ESG Risk score is below 50.

Based on their quantitative scores, companies are grouped into one of five Risk Categories (negligible, low, medium, high, severe). These risk categories are absolute, meaning that a 'high risk' assessment reflects a comparable degree of unmanaged ESG risk across all subindustries covered.

The ESG Risk Rating Assessment is a visual representation of Sustainalytics ESG Risk Categories on a 1 to 5 scale. Companies with Negligible Risk = 5 Globes, Low Risk = 4, Medium Risk = 3 Globes, High Risk = 2 Globes, Severe Risk = 1 Globe. For more information, please visit sustainalytics.com/esg-ratings/

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